

UNDERSTANDING REPO RATES AND ITS EFFECTS ON THE STOCK MARKET

The Repo Rate is the interest rate at which the RBI (Reserve Bank of India) lends money to the commercial banks. RBI is the central bank of India. Meaning, they are responsible for regulating all things related to India's banking sector.



RBI is also called the banker's bank. We cannot take money from the RBI as it only lends to commercial banks. Repo Rate is a key monetary policy tool that indicates the overall financial health and direction of interest rates in the economy.

